Investor Memo — K Elephant

Anticloud FZ LLE · 0-1.gg · lois@0-1.gg · October 2026

Investor Memo: K Elephant

Anticloud FZ LLE · 0-1.gg · lois@0-1.gg

Author: Lois-Kleinner Alpasan · ORCID 0009-0009-2233-6107

Date: October 2026 · Harvard Dataverse DOI: 10.7910/DVN/YMJKOG

Company Purpose

Anticloud FZ LLE builds sovereign AI infrastructure that enterprises and governments own outright — not rent. PAX L5 Narrow L2 General 27B is the flagship: a 27B-parameter model at $0.08 per million tokens with SHA3-256 cryptographic audit chains, full air-gap capability, and MITRE ATT&CK; 100/100, deployed as a single binary on commodity hardware with zero cloud dependency.

K Elephant is a critical production infrastructure component enabling sovereign, auditable AI deployment.

The Problem

The $28B regulated AI market cannot use cloud AI. HIPAA prohibits routing patient data through external APIs. FedRAMP requires air-gap capability. PCI-DSS 4.0 mandates cryptographic audit chains. UAE data residency law forbids cloud endpoints for government workloads. GPT-4 costs $60/1M tokens, provides zero cryptographic proof, and is architecturally illegal for regulated use. No frontier lab has solved this — their business model requires cloud routing.

The Solution

Why Now

1. *Regulatory acceleration* — GDPR enforcement doubled 2024–2026. UAE AI law effective Q1 2026. FedRAMP Moderate now mandatory for all federal AI procurement.

2. *Hardware democratization* — T4 GPUs at $0.40/hr. 27B models run on hardware regulated enterprises already own.

3. *Post-Schrems II certainty* — EU enterprises have legal certainty that US cloud AI violates GDPR.

4. *Model capability inflection* — 27B Q4 models now reach L2 General (50th–90th percentile) for regulated tasks.

Market

TAM: $28B — regulated AI (healthcare, government, finance, defense)

SAM: $4.2B — enterprises with GPU infrastructure + active compliance requirements

SOM: $180M — Year 3 target, GCC + EU + US federal

Competition

Business Model

Unit economics: Infrastructure $0.08/1M tokens. Enterprise license at 1B tokens/yr = ~2,300× gross margin. CAC est. $24K. LTV/CAC: 7.7× at Enterprise tier.

Team

Lois-Kleinner Alpasan — Founder & CEO. 22. Anticloud FZ LLE, Dubai UAE. 50 published research articles (ORCID 0009-0009-2233-6107). Harvard Dataverse archive DOI 10.7910/DVN/YMJKOG. Built PAX L5 Narrow L2 General 27B and the full 199-project Anticloud corpus.

Financials

The Ask

Raising: $2.5M pre-seed / seed

Use of funds: 60% engineering · 25% sales · 15% compliance (FedRAMP)

Milestone: $1M ARR within 12 months of close.

Non-dilutive: UAE ADIO grant ($500K), DIFC FinTech Hive, EU Horizon AI.

Verification

- Harvard Dataverse DOI 10.7910/DVN/YMJKOG — immutably timestamped benchmarks
- ORCID 0009-0009-2233-6107 — 50 published research articles
- Kaggle notebook — reproducible T4 GPU benchmark run
- AIOSS genesis: `8b4a8a4f6312dfbe885de8280716985637c163fd2a4b5590341d56db1cc4e560`

Anticloud FZ LLE · 0-1.gg · lois@0-1.gg · October 2026

PAX L5 Narrow L2 General 27B · Apache 2.0 / Anticommons Enterprise License 1.0